Power demand outpaces grid; US policy retreats; insured losses harden

A May 2026 read: clean build-out is accelerating in batteries, renewables and first-of-a-kind nuclear, while data-centre load, the OBBBA-driven US policy reversal and a sixth consecutive USD 100 bn-plus insured-loss year reshape the operating environment.

The 2026 consensus on energy is still the long transition. The cycle's evidence reframes it. Build-out is accelerating, with a record 692 GW of renewables added in 2025 and storage crossing 100 GW of annual additions for the first time (IRENA, March 2026). At the same time AI-driven load, PJM auction signals and the OBBBA's IRA rollback pull capital and policy in different directions, while a third 1.5°C-overshoot year hardens the insured-loss base. The question is whether grids, permitting and insurance can absorb the speed.

Momentum across the topic

Signal	Direction	Evidence	Commentary
AI and data-centre electricity demand	ACCELERATING	Named demand inflection in past 60 days	Data-centre power demand rose 17% in 2025, AI load up ~50% (IEA Electricity 2026, April 2026).
RTO capacity-price escalation	ACCELERATING	PJM at the price cap for a third consecutive auction	PJM's 2027-28 auction cleared at $333.44/MW-day with a 6.6 GW reserve shortfall, mostly data-centre load (Utility Dive, December 2025).
Battery storage scaling	ACCELERATING	112 GW added in 2025, up 48% YoY	BNEF projects 158 GW in 2026; storage crossed 100 GW in four years versus eight for solar (BloombergNEF, May 2026).

Signal	Direction	Evidence	Commentary
Renewable capacity additions	ACCELERATING	Record 692 GW in 2025; renewables 86% of additions	Solar 511 GW and wind 159 GW; Asia took 74% of new capacity (IRENA, March 2026).
Advanced nuclear permitting	ACCELERATING	Named regulatory inflection in past 90 days	NRC approved TerraPower's Natrium plant: first commercial construction approval in nearly a decade (NRC, March 2026).
US clean-energy policy reversal	ACCELERATING	OBBBA effective; offshore-wind stop-work episodes in past 90 days	45Y and 48E credits wind down on a 4 July 2026 construction-start trigger; Atlantic Shores was cancelled in March (Yale E360, April 2026).
Insured catastrophe losses	ACCELERATING	Sixth consecutive year above USD 100 bn; 92% from secondary perils	2025 insured losses ~USD 108 bn, LA wildfires alone at USD 40 bn (Swiss Re sigma, March 2026).
EU critical-infrastructure resilience deadline	ACCELERATING	17 July 2026 designation deadline inside next 60 days	Strategies were due January; designations follow in July with a 10-month compliance clock across 11 sectors (CER commentary, February 2026).
US grid interconnection bottleneck	STABLE	Queue at 2.6 TW; median wait doubled to over 4 years	Berkeley Lab data shows no easing; 95% of queue capacity is solar, storage and wind (Berkeley Lab, December 2025).

Pattern narrative

The cycle's nine signals group into three themes at different tempos. Build-out is the clearest accelerator, load-and-grid the dominant transformer, and the risk side

hardening rather than fading.

Clean build-out scales faster than the headlines suggest

EMERGING OPPORTUNITY

Battery storage, the renewables record and the first US advanced-nuclear permit in roughly a decade sit together. Storage took four years to cross 100 GW versus eight for solar, compressing the firming timeline. The next inflection is whether 2026's projected 158 GW of storage lands behind data-centre loads.

Data-centre load and resilience deadlines rewire the operating environment

TRANSFORMATION DRIVER

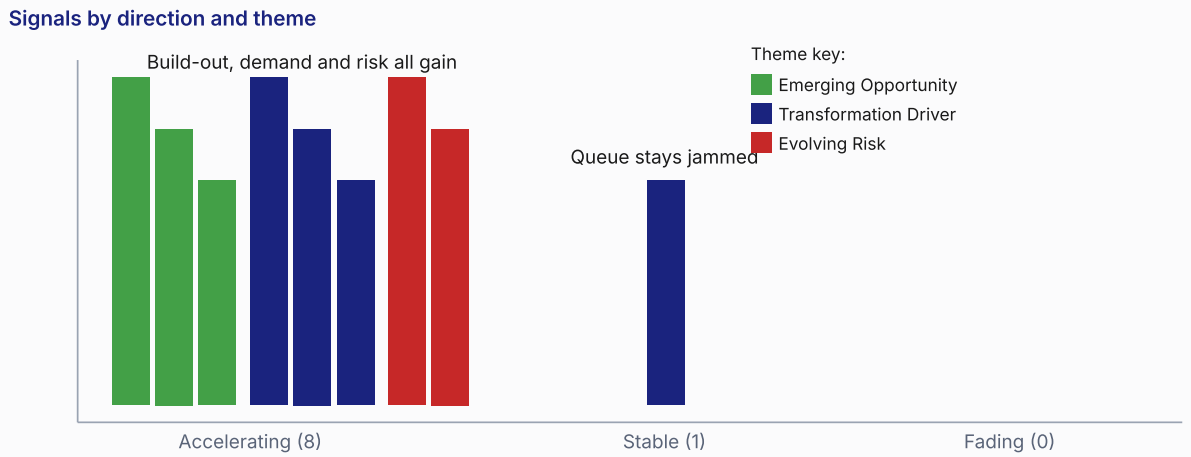
AI-driven demand, the PJM price escalation, the persistent interconnection bottleneck and the EU CER cycle interact. PJM's third capped auction shows load moving faster than firm capacity even as 2.6 TW sits in queue. The EU layer adds a parallel deadline-driven push across 11 sectors.

Physical and policy risk converge

EVOLVING RISK

The US clean-energy policy reversal and the insured-catastrophe loss line move in the same direction from different systems. OBBBA's phase-out and the offshore-wind stop-work episodes compress US capex into a 2026-2027 window, while a sixth consecutive year above USD 100 bn in insured losses, secondary perils dominant, hardens the underwriting base.

Momentum distribution across the nine tracked signals



Source basis: nine tracked signals in the cycle evidence base, colour-coded by theme assignment.

Signals gaining momentum

1. **AI and data-centre electricity demand.** A missed hyperscaler go-live or an ISO-ordered large-load curtailment would force tariff and siting reform.
2. **RTO capacity-price escalation.** A backstop procurement RFP at PJM would tip the conversation to direct state intervention on data-centre allocations.
3. **Battery storage scaling.** A sustained RTO co-location requirement would convert storage into default interconnection economics.
4. **Insured catastrophe losses.** A second January-2025-scale wildfire or convective-storm cluster would push FAIR Plan models past carrying capacity.
5. **US clean-energy policy reversal.** A Treasury clarification narrowing the 4 July 2026 safe harbour would compress the window further.

The Wild Card Chains to Watch

Compound peak-loss year materialises

DISRUPTIVE RISK *Potential impact: Very High* | *Likelihood: 5 to 30% by 2027*

Surprise characteristics: A 2026 secondary-peril cluster pushing insured losses toward the modelled peak.

THE CHAIN TO WATCH: HOW THE LOSSES WOULD PILE UP

Each step names the indicator that would evidence it and the threshold at which we would call it. This chain was added on 24 October 2026 from this edition's own sources, so its bands are not logged as calls in our public Track record.

1 Secondary perils drive a record share of insured losses — **Happened**
Seen: a record 92% of 2025 insured losses from secondary perils
Watch: the secondary-peril share of insured catastrophe losses, called at or above the record 92% of 2025 (Swiss Re Institute, March 2026).

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2 Convective storms strike several states in May and June — **Medium: 30 to 50% by mid 2026**
Watch: first-half insured catastrophe losses running ahead of 2025, when the full year reached USD 108 bn (Munich Re, January 2026).

3 Atlantic sea temperatures run above normal by July — **Medium: 30 to 50% by end 2026**
Watch: monthly Atlantic sea surface temperatures for July above the 1991-2020 average (Copernicus Climate Change Service, January 2026).

4 Pacific wildfires burn beyond the 2025 baseline — **Low: 5 to 30% by end 2026**
Watch: year-end Pacific wildfire insured losses above the 2025 baseline set by the Los Angeles fires (Munich Re, January 2026).

5 **The wild card lands: insured losses reach the modelled peak-loss year** — **Low: 5 to 30% by early 2027**
Watch: full-year 2026 insured catastrophe losses well above the USD 148 bn base case and nearing the USD 320 bn peak scenario (Swiss Re Institute, March 2026).

Step 1 is evidenced in this edition's sources, as it stood when it was published.

Swiss Re's peak-year scenario points to about USD 320 bn in insured losses in 2026 against a base-case USD 148 bn (Swiss Re sigma, March 2026). That would crystallise the property-insurance retreat now visible in California into a broader sun-belt mortgage event.

Hyperscaler-backed firm clean capacity goes commercial

DISRUPTIVE OPPORTUNITY *Potential impact: High* | *Likelihood: 5 to 30% by 2029*

Surprise characteristics: A multi-gigawatt hyperscaler offtake pulling SMRs, geothermal or long-duration storage past first-of-a-kind cost.

THE CHAIN TO WATCH: HOW FIRM CLEAN POWER WOULD BECOME BOOKABLE

Each step names the indicator that would evidence it and the threshold at which we would call it. This chain was added on 24 October 2026 from this edition's own sources, so its bands are not logged as calls in our public Track record.

1 The NRC approves a first advanced reactor for construction — **Happened**

Seen: Natrium approved in March after under 18 months' review

Watch: technical review times for NRC advanced reactor permits, against under 18 months for Natrium (U.S. Nuclear Regulatory Commission, March 2026).

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2 The NRC issues a second construction permit at similar pace — **Medium: 30 to 50%** by end 2027

Watch: a second commercial reactor construction permit issued after a technical review of 18 months or less (U.S. Nuclear Regulatory Commission, March 2026).

3 Hyperscalers sign long-dated firm clean PPAs below USD 100/MWh — **Low: 5 to 30%** by end 2028

Watch: a disclosed long-dated firm clean power purchase agreement priced below USD 100/MWh (BloombergNEF, January 2026).

4 Tech majors finance first plants from their own balance sheets — **Low: 5 to 30%** by mid 2029

Watch: a tech major funding a named firm clean plant on balance sheet, out of capex that reached USD 400 bn in 2025 (International Energy Agency, April 2026).

5 **The wild card lands: hyperscaler-backed firm clean capacity goes commercial** — **Low: 5 to 30%** by 2029

Watch: a multi-gigawatt hyperscaler offtake for SMRs, geothermal or long-duration storage reaching financial close (BloombergNEF, January 2026).

Step 1 is evidenced in this edition's sources, as it stood when it was published.

The Natrium permit (NRC, March 2026) shows the regulatory machine can move when an application is well prepared. A second and third permit at similar cadence would shift firm clean capacity from speculative to bookable.

EU resilience deadline reveals a sector-wide gap

DISRUPTIVE RISK *Potential impact: High* | *Likelihood: 5 to 30% by 2027*

Surprise characteristics: A Member-State audit shows critical-entity coverage below 50% by Q4 2026 in energy or digital infrastructure.

THE CHAIN TO WATCH: HOW THE COVERAGE GAP WOULD SURFACE

Each step names the indicator that would evidence it and the threshold at which we would call it. This chain was added on 24 October 2026 from this edition's own sources, so its bands are not logged as calls in our public Track record.

1. The January deadline for national resilience strategies passes — **Happened**
   Seen: strategy deadline of 17 January 2026 already passed
   Watch: the number of Member States still without a published strategy after the 17 January 2026 deadline (Deloitte, February 2026).

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2. Member States miss or rush the July designations — **Medium: 30 to 50%** by end 2026
   Watch: critical-entity designations missed by Member States at the 17 July 2026 deadline (Deloitte, February 2026).

3. The Commission sends infringement letters to late Member States — **Medium: 30 to 50%** by end 2026
   Watch: letters of formal notice from the Commission to Member States that miss the July designation deadline (Deloitte, February 2026).

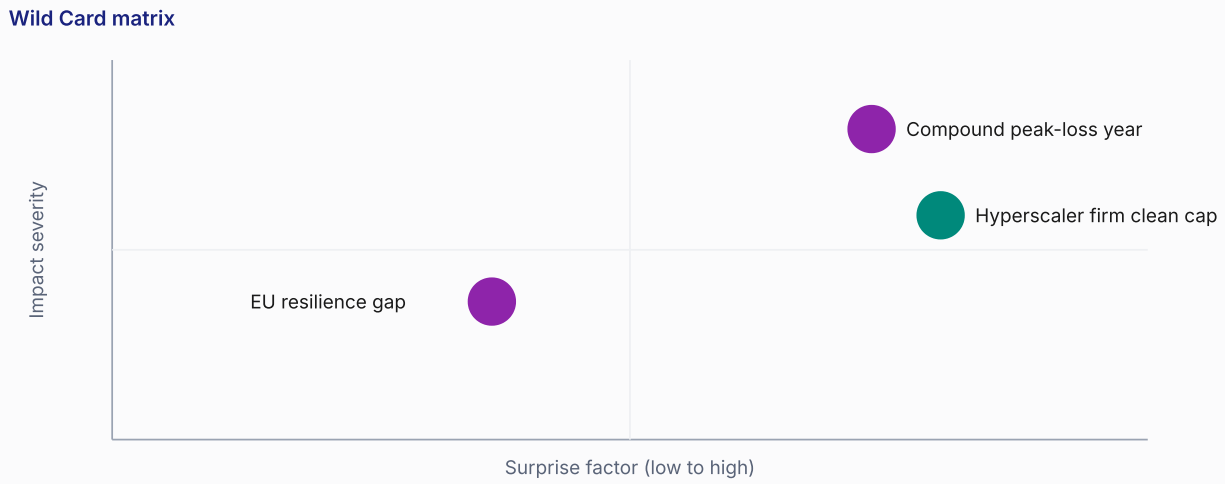
4. Energy and digital operators push back on cross-border rules — **Low: 5 to 30%** by end 2026
   Watch: energy or digital infrastructure bodies formally opposing cross-border resilience requirements before the May 2027 compliance date (Deloitte, February 2026).

5. **The wild card lands: an audit finds critical-entity coverage below 50%** — **Low: 5 to 30%** by early 2027
   Watch: a Member-State audit reporting critical-entity coverage below 50% in energy or digital infrastructure (Deloitte, February 2026).

Step 1 is evidenced in this edition's sources, as it stood when it was published.

Strategies were due 17 January 2026 and designation lands in July (CER commentary, February 2026). A patchy roll-out would re-open the H2 2026 climate-resilience framework consultation just as it is meant to land.

Wild Card matrix: surprise versus impact



Source basis: analyst plotting of the three wild cards by surprise factor and potential impact, drawn from cycle evidence.

Implications

Three reads are worth monitoring this quarter. Capacity is no longer the binding constraint; interconnection, siting and firm-capacity contracting are, which warrants attention to storage co-location terms and the next PJM and MISO auction signals. The OBBBA 4 July 2026 construction-start window is a decision point for US clean-energy capex still on the shelf. The insured-loss base reset matters for capital allocation, directly through property cover and indirectly through mortgage and municipal-bond pricing in exposed regions.

Bibliography

Source tiers: **Tier 1**, governments, regulators and intergovernmental bodies. **Tier 2**, think-tanks, academic institutes, major consultancies and quality data providers. **Tier 3**, quality journalism and specialist trade press. **Tier 4**, vendor, company and practitioner sources, used only as directional corroboration.

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